

EG US Daily: Defense and agriculture funding on track via reconciliation or otherwise

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 - * AI export control bills unlikely to be included in NDAA in current form
 - * Graham sanctions bill likely to pass with discretion for White House
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Defense and agriculture funding on track via reconciliation or otherwise. The House released its budget resolution for a party-line reconciliation bill focused on defense and agriculture funding, setting up a pre-August legislative sprint.

* The White House's pivot on the legislative strategy for passing the supplemental funding has made us reconsider our outlook; we now see a 65% chance that the supplemental funding passes by the end of the year, either through reconciliation or through a bipartisan deal with Democrats (if the reconciliation approach fails).

* The largest hurdle is how to deal with the SAVE America Act on voter ID. The current language will not make it into a final funding package, because it does not comply with the Senate's Byrd Rule, but giving House members a chance to vote for it will alleviate political friction even if the current provision will not become law. House Speaker Mike Johnson (R-LA) could use the \$10 billion available in the budget resolution to make some federal election funding conditional on states implementing voter ID laws, though this middle ground is only theoretical as of now. The lack of fiscal offset is a lesser issue: Fiscal conservatives will not ultimately hold up defense and agriculture spending.

* Congress can approve the funding at three points: in July, before the August recess; in September; or after the midterms. September is more likely than July, due to the Senate's time crunch ahead of the recess, but a July passage is possible if the Senate moves quickly on a pending nominations package that will eat up floor time.

AI export control bills unlikely to be included in NDAA in current form. The Senate National Defense Authorization Act manager's package included the AI Overwatch Act, MATCH Act, and Chip Security Act, three major provisions aimed to strengthen export controls for AI chips and semiconductor manufacturing equipment. The final version of the NDAA is unlikely to include the current versions of these bills, which would likely see their enforcement mechanisms watered down to provide more leeway to the White House if they are included at all. (For more, please see Geo-technology: Congressional export control push unlikely to damage China ties , 24 April 2026.)

- * Manager's packages are blocs of amendments committee staff negotiate beforehand, aiming to include the greatest number of mutually agreeable amendments possible. These AI bills' inclusion in the manager's package signals the committee's intent to fold them into the base text of the Senate NDAA.

- * However, the final NDAA is a product of negotiations between the House, Senate, and White House, meaning the bills may well be stripped out later. Inclusion of the bills now may be intended to strengthen the Senate's negotiating position during the bill conferencing process with the acknowledgement that they can be cut.

- * The three export control bills are unlikely to be included in the final, passed NDAA in their current form; the House is divided on the issue, and affected companies will press hard against inclusion. If any export controls are included, they would likely be diluted, as the White House would insist on changes that give the executive branch final authority over implementation and enforcement.

Graham sanctions bill likely to pass with discretion for White House. A sanctions package against Russia championed by late Sen. Lindsey Graham (R-SC) will likely be passed in the coming weeks (60%); before he died Graham had just returned from a trip to Ukraine to advocate for the measure and struck a deal ensuring White House support for a revised version of the bill that granted Trump additional leeway on enforcement.

- * The main hold-up for the bill is concern among members from both parties that the legislation creates new tariff authorities that President Trump will use beyond the scope of what the bill intends. While these concerns are likely to be overcome by the strong level of bipartisan support for the bill and congressional interest in countering Russia, continued hesitance caps our odds of passage at 60%. Indications that additional changes are required would lower these odds.

- * The bill would sanction Russia's leadership, energy sector, financial sector and its shadow fleet of oil tankers, though the most recent version of the bill grants Trump the authority to waive enforcement at will. It would also give Trump the authority to implement 100% tariffs on the top buyers of Russian oil, though here too the White House will retain final say in imposition and enforcement.

- * Trump is unlikely to follow through on the use of the tariff authority the bill would provide. The main potential targets are large enough that Trump is currently pursuing trade deals with them (India, China), while smaller nations are more likely to see the tariffs utilized as a threat to generate concessions on one-off issues such as critical minerals development and access.

Quote of the Day

"I'm his lawyer—was his lawyer, and now I'm the deputy attorney general." - Deputy Attorney General Todd Blanche responding to a question from Sen. John Kennedy (R-LA) about whether he is friends with President Trump in his confirmation hearing today. Blanche's confirmation has already faced headwinds from Republican members concerned about the proposed \$1.8 billion weaponization fund and his comments over January 6, and this quote will be cited as evidence of his partiality by critics.

On the Radar

15 July: Senate Judiciary Committee confirmation hearing for Attorney General nominee Todd Blanche

15 July: Senate Select Committee on Intelligence confirmation hearing for Director of National Intelligence nominee Jay Clayton

16 July: Senate Committee on Health, Education, Labor and Pensions holds confirmation hearing for Secretary of Labor nominee Keith Sonderling.

21 July: Senate Appropriations Committee hearing on Pentagon's supplemental request

24 July: Section 122 tariffs expire

27 July: Deadline for Maine Democratic Party to name Senate candidate

4 August: Michigan primary election

3 November: National midterm elections

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Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

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